

Tesla, Inc.
TSLA NASDAQ

Hold \$381.57 ▲ 0.38% 12M Price Target \$420.00 52-Week Range \$297.38 – \$498.83

Market Cap \$1.51T

TSLA: Robotaxi Hype Meets EV Credit Cliff Reality

WHAT HAPPENED

- TSLA quietly grinding higher — up 5% in a week on rising volume, but today's tape is thin (only 17M shares vs 30M+ typical). Story is shifting from cars to robots: Morgan Stanley just tied Tesla's robotics work to SpaceX's \$300/share AI valuation case, which is analyst-speak for "stop valuing this like Ford."
- BUT — Benzinga flagged that Tesla's FSD system sped in 55% of Brussels test runs right before the EU approval vote. That's a real problem. Regulators hate headlines like that.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The big overhang is the \$7,500 federal EV tax credit — it expired September 30, 2025 under the Trump administration's "One Big Beautiful Bill," and we're now seeing the first full year of Tesla selling cars without it. That's why auto margins are the wobbly leg of this stool. On the flip side, the administration's push to loosen NHTSA autonomous vehicle rules is a direct tailwind for robotaxi rollout — fewer federal safety hoops means Tesla can scale Austin/Bay Area service faster than competitors like Waymo who play by stricter rules. Also watch China tariffs: Tesla's Shanghai gigafactory is exposed both to US-China trade tension and Beijing's willingness to keep favoring Tesla over BYD.

IS IT EXPENSIVE?

At \$381, you're paying roughly 177x next year's earnings — meaning investors are shelling out \$177 for every \$1 of profit Tesla is expected to make. For context, Ford trades at 8x and even Nvidia is around 35x. This only makes sense if you believe robotaxi and Optimus become massive real businesses within 3-5 years; if Tesla stays "just" a car company with a software side hustle, this stock is worth closer to \$150.

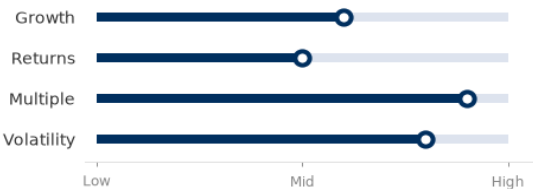
WHAT COULD GO WRONG

- EU regulators reject or delay FSD approval after the Brussels speeding tests — that kills the international autonomy narrative and cuts the bull case in half.
- The EV tax credit expiration is still working through the numbers — Q3 and Q4 deliveries could show real demand destruction that spooks the "it's not a car company" crowd back into reality.

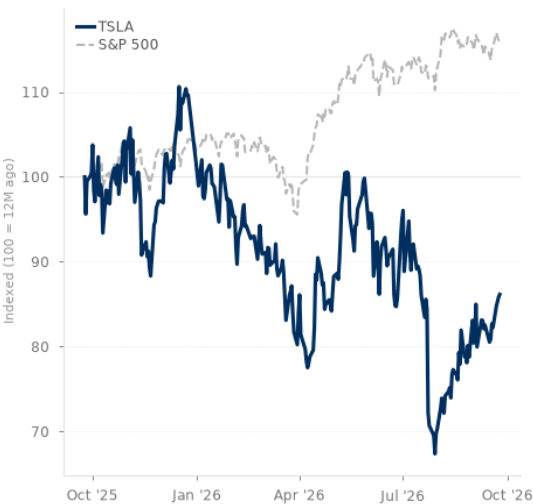
Key Data

Price (USD)	\$381.57
12M Price Target	\$420.00
Upside / (Downside)	+10.1%
Market Cap	\$1.51T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	177.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$410.00	\$385.00	\$350.00
6 Months	\$460.00	\$400.00	\$320.00
1 Year	\$520.00	\$420.00	\$290.00
2 Years	\$650.00	\$450.00	\$250.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1400.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.25%) leading — AI infrastructure spend keeps flowing there. Energy caught a bid on geopolitical tension.

COOLING OFF: Financials (-0.18% today, -2.23% on the week) getting hit as rate cut expectations get pushed out. Real Estate soft for the same reason.

ROTATION WATCH: Money is rotating INTO AI-adjacent narratives (robotics, autonomy, data infrastructure) and OUT of rate-sensitive stuff. That's why TSLA is holding up — it's being treated as an AI stock now, not a consumer discretionary name (its actual sector is only +0.07%).

RELATED PLAY: If you believe the robotics thesis, the picks-and-shovels play is NVDA (chips for training FSD) and companies making the actuators/sensors for humanoid robots — Aeva, Luminar on the lidar side, though those are speculative.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the cleanest AI trade — every robotics and autonomy story eventually buys their chips.
- GOOGL (Alphabet/Waymo): Waymo is scaling paid rides faster than Tesla's robotaxi — the market is starting to notice.

TSLA CONTEXT: TSLA is lagging pure-play AI names on a 6-month basis but leading the auto group by a mile. That tells you the market is halfway through re-rating it from "car company" to "AI platform" — the next leg depends on delivering actual robotics revenue, not just slides.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — cautiously constructive but the valuation gives me no margin for error, and the CFO just sold ~\$938K worth of stock which isn't a vote of confidence.

POSITION SIZE: 2-4% — the upside is real if robotics hits, but this thing can drop 25% on a bad delivery number, so don't oversize.

ENTRY POINTS: I'd rather add on pullbacks to \$340-355 (the recent consolidation zone) than chase here at \$381 with unusual call buying already stretched.

TIME HORIZON: 12-24 months — the catalysts you're waiting for are Q3 deliveries (October), robotaxi expansion updates, and any Optimus commercial announcement.

WHEN TO BAIL: EU formally rejects FSD, robotaxi timeline slips past mid-2027, or auto gross margins drop below 15% — any of those and the story breaks.

HEDGING: Buy a put option a few months out at the \$340 strike — it's insurance that pays off if the stock craters, costs you a small premium if it doesn't. Or just pair with a short position in a legacy automaker so you're betting on Tesla's edge, not the auto cycle.